Robinhood Markets, Inc.

HOOD NASDAQ

Hold	$83.32 ▲ 2.98%	12M Price Target	52-Week Range	Market Cap
		$95.00	$63.52 – $139.75	$75.03B

HOOD: Bounces Back but Kalshi Ruling Clouds Prediction Markets

WHAT HAPPENED

- Stock bounced +3% today after a brutal -10% drop on Nov 5 — the rebound is riding broad tech/risk-on strength (Tech ETF +3.7%, Industrials +3.8%), not company-specific good news. In fact, the company-specific news is bad: a California court just restricted Kalshi's sports prediction contracts, and HOOD runs the same playbook through its event contracts business.
- Options flow is flashing yellow — put/call ratio of 0.34 looks bullish on the surface (way more calls than puts), but the UNUSUAL activity is heavy on $84 and $88 puts expiring in days. Translation: somebody with size is buying downside protection right into this bounce.

WHY IT MATTERS

The Kalshi ruling is the story nobody's pricing in yet. Prediction markets and event contracts were supposed to be HOOD's next growth leg — sports betting via "financial contracts" sidesteps state gambling laws, and it was printing money. If California's logic spreads (and other blue states will copy it), that entire revenue stream gets neutered. Meanwhile, the Barron's piece on tokenization — the idea that only crypto firms will let their stocks be tokenized — is a direct shot at HOOD's tokenized equities push in Europe, suggesting the US version may launch half-empty. The bounce today is market beta, not conviction; smart money is using strength to buy puts.

POLICY & POLITICAL WATCH

The regulatory picture is split-screen: the Trump administration's crypto-friendly stance (GENIUS Act stablecoin framework, SEC dropping cases) is a massive tailwind for HOOD's crypto revenue, which is roughly 35-40% of transaction revenue. BUT the CFTC and state courts are tightening the screws on event contracts/prediction markets — the California Kalshi ruling today is the second major state-level pushback in months, and if the CFTC's new leadership doesn't ride in with federal preemption, HOOD's sports-contracts business is in trouble. Watch for a CFTC statement in the next 2-4 weeks — that's the binary event.

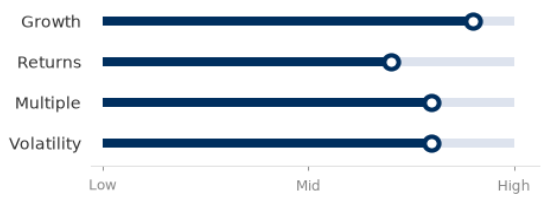
IS IT EXPENSIVE?

At $83 and ~45x forward earnings, you're paying $45 for every $1 of profit HOOD is expected to make next year — rich for a brokerage, reasonable for a fintech growth story. The stock is sitting at only 26% of its 52-week range ($63-$140), so it's closer to the lows than the highs — which tells you the market has already de-risked some of the hype. Fair, not cheap: the valuation only works if prediction markets and tokenization come through, and today's news makes both less certain.

WHAT COULD GO WRONG

Key Data	
Price (USD)	**$83.32**
12M Price Target	**$95.00**
Upside / (Downside)	**+14.0%**
Market Cap	**$75.03B**
FY2026E Revenue	**$4,250M**
FY2027E Revenue	**$5,400M**
FY2026E EPS	**$1.85**
FY2027E EPS	**$2.40**
Fwd P/E	**45.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

HOOD — Robinhood Markets, Inc. | November 09, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$95.00**	$85.00	**$72.00**
6 Months	**$120.00**	$95.00	**$65.00**
1 Year	**$150.00**	$100.00	**$60.00**
2 Years	**$200.00**	$130.00	**$55.00**
5 Years	**$350.00**	$220.00	**$70.00**
10 Years	**$600.00**	$350.00	**$90.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Industrials (+3.8%) and Tech (+3.7%) on broad risk-on; Comm Services up +7% over 5 days — money is flowing back into growth after last week's crypto scare.

COOLING OFF: Crypto-adjacent names (COIN at 52-wk low, MSTR dropping, WeBull -35% YTD) — the entire retail-crypto complex is under pressure despite the friendly admin.

ROTATION WATCH: Money is rotating OUT of crypto brokers and INTO traditional tech/AI — that's a headwind for HOOD specifically because it blurs the "fintech growth story" narrative.

RELATED PLAY: If HOOD's crypto piece gets re-rated lower, watch CME Group and ICE — regulated derivatives exchanges that benefit if event contracts get forced into traditional venues.

WHO'S WINNING IN THIS SPACE?

- BGC (BGC Group): Trading at a cheaper multiple with similar brokerage exposure — Zacks is literally running HOOD vs BGC value comparisons today, which tells you the market is questioning HOOD's premium.
- IBKR (Interactive Brokers): Steady profitable growth without the crypto/prediction-market overhang — the "boring is beautiful" trade.

HOOD CONTEXT: HOOD is lagging the pure brokers because it's got more regulatory exposure, but leading the crypto-brokers (COIN, BULL) because of better diversification. It's stuck in the middle — not pure enough for either camp right now.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term fintech super-app story but today's Kalshi headline and the bearish options flow make me want to wait rather than chase this bounce.

POSITION SIZE: 2-4% — real upside but real binary risk from regulatory decisions, so size it like a growth bet not an anchor holding.

ENTRY POINTS: $72-78 on pullbacks — the stock has shown it'll flush on bad regulatory news (see Nov 5), and that's where you get paid to be patient.

TIME HORIZON: 12-24 months — the catalyst you're waiting for is CFTC clarity on event contracts and a full launch of US tokenized equities.

WHEN TO BAIL: Federal court siding with California on event contracts, OR crypto trading volume dropping 30%+ quarter-over-quarter, OR Vlad Tenev selling significant stock.

HEDGING: Buy cheap out-of-the-money puts (say $75 strike, 2-3 months out) as insurance — or pair it with a short in COIN so you're betting on HOOD's diversification beating pure-crypto exposure.

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